Terms of reference

Diagnostic study of the ship recycling value chain in Pakistan

1. Introduction

1.1. Background

Ship recycling is a practice for dealing with ships at the end of their operational life. When conducted properly, ship recycling embraces the "cradle to grave" concept: it results in almost all materials and equipment used in the manufacture of a ship being re-used in other forms, an outcome. While the principle of ship recycling is sound, the working practices and environmental standards in ship recycling facilities vary from yard to yard and ensuring safe working practices for those employed in ship recycling yards remains a challenge.

The ship recycling industry in Pakistan, centred at the Gadani shipbreaking yard in Baluchistan, has a long history and once led the global market. Though still a major player—accounting for 16.6% of global ship recycling in 2022—Pakistan's industry faces serious challenges. These include outdated infrastructure, weak regulatory enforcement, unsafe working conditions, and environmental concerns. Despite these issues, the industry remains economically significant, generating about 12 billion rupees annually and employing thousands of workers.

Pakistan's ship recycling industry, particularly in the Gadani ship breaking yard, presents valuable opportunities for the growth of Small and Medium Enterprises (SMEs) and advancing workforce skills. By tapping into the potential of downstream sectors that make use of salvaged materials from dismantled ships, new avenues for business creation and income generation can emerge.

These opportunities include the expansion of industries such as metalworking, component fabrication, and the processing of recycled materials. Building expertise in these fields can help cultivate a skilled labour force capable of supporting and sustaining these enterprises.

To ensure long-term success and attract further investment, it is crucial to enhance regulatory oversight and promote eco-friendly operational practices. Doing so will not only protect the environment and worker welfare but also increase the sector's credibility on a global scale.

With targeted support for downstream industry development and vocational training, Pakistan can transform its shipbreaking sector into a catalyst for employment, economic progress, and a more resilient circular economy.

Pakistan has recently ratified the Hong Kong Convention (HKC) and now faces the urgent task of aligning its practices with international standards before the Convention enters into force in July 2025.

Globally, ship recycling is governed by multiple frameworks. The HKC, adopted by the IMO in 2009, mandates safe, environmentally sound recycling practices and requires ships to carry an

Inventory of Hazardous Materials. Compliance will involve significant upgrades in Pakistani yards, including facility authorization and improved worker training. The Basel Convention (1989) regulates hazardous waste movement and promotes environmentally sound management, while the ILO has issued guidelines and conventions to ensure occupational health and safety in shipbreaking. Pakistan's upcoming ratification of key ILO OSH conventions in 2025 is expected to support national efforts to reform the sector, enhance worker protection, and meet global standards.

1.2. Safe and Environmentally Sound Ship Recycling and Decent Work (SENSREC-DW) in Pakistan

The International Labour Organisation together with the International Maritime Organization (IMO) is implementing the Project "Safe and Environmentally Sound Ship Recycling and Decent Work in Pakistan", which is designed to enhance national capacities for Pakistan on safe and environmentally sound recycling of ships preparing the country to respond to its obligations under the Hongkong Convention acceded by Pakistan in December 2023.

The project is working towards building a national roadmap for enforcing and implementing HKC while improving labour conditions with a focus on a safe and healthy working environment for ship recycling.

Work is divided into four components covering legal and institutional reform; capacity building for health, safety and environmental compliance; planning for management of hazardous materials and wastes with an outline design of a facility for downstream treatment, storage and disposal of waste; and supporting industry upgrade.

2. Objectives of the study

The study aims to assess the current state of the ship recycling value chain in Pakistan, identify policy and implementation gaps, and provide recommendations to address these shortcomings.

The specific objectives of the study are

1. To map the stakeholders of the ship recycling industry value chain and understand their power dynamics.
2. Assess policy and implementation gaps in the ship recycling value chain and propose recommendations to address these deficiencies, focusing on occupational safety and health (OSH), skills development, green transition capacity, women empowerment for SME development, and alternative livelihoods for downstream workers, Fundamental principles and Rights at Work (FPRW) and employment conditions.
3. Identify the training needs to fulfil the shortcomings in relation to awareness on Fundamental Principles and Rights at Work (FPRW), Freedom of Association and Collective Bargaining (FoA&CB), just transition, green jobs and negotiation skills.
4. Inform the development a comprehensive action plan to promote decent work throughout the ship recycling value chain.

3. Methodology

3.1 Desk review

The consultant will review and analyse the relevant existing polices, national and provincial laws and regulations and relevant ILO conventions (including C155 and C187), the ILO's guidelines for Asian countries and Turkey on "Safety and Health in Shipbreaking".

The consultant will also examine the national regulatory frameworks governing the ship recycling industry in India, Bangladesh, and Turkey, as well as publicly available information on decent work in the value chain of these countries and use that information to support the formulation of recommendations.

3.2 Conduct field assessments

The consultant will conduct interviews, focus group discussions, and/or surveys with the following key stakeholders to collect data:

- Government institutions, including but not limited to Ministry of Overseas Pakistani's and Human Resource Development (MoPHRD), Department of Labour Balochistan and Sindh, Ministry of Maritime Affairs (MoMA), Environmental Protection Agencies (EPAs) of Balochistan and Sindh, Balochistan Development Authority (BDA).
- Employers' bodies, including but are not limited to Employers Federation of Pakistan (EFP), Pakistan Ship Breakers Association (PSBA).
- Workers' bodies, including but not limited to Pakistan United Workers Federation (PUWF), trade unions from the ship recycling industry.
- The consultant should also conduct interviews of or meetings/focus group discussions with the shipyard owners, HSE managers, supervisors and workers from the ship recycling industry at the workplace (Gadani shipyard).
- Other stakeholders that deemed appropriate and directly or indirectly associated with the ship recycling industry particularly in the downstream and upstream sectors including Non-Governmental Organizations (NGOs) and Civil Society Organizations (CSOs).

3.3 Validation workshop

The consultant will organize a national level validation workshop with key stakeholders to share the findings of the study and get inputs for further action.

4. Elements to be included in the report

4.1 Overview of the value chain and its stakeholders

- Production stages and respective production processes
- Different types of actors involved in upstream and downstream value chain
- Identification of the supporting functions

Findings should focus on the following dimensions of decent work in the value chain

4.2 Occupational safety and health and interlinkages with other Fundamental Principles and Rights at Work

- OSH hazards, risks, and management practices to address them for each part of the value chain
- Categories of workers who are most vulnerable to those OSH hazards and risks and why

- Linkages between OSH practices and commercial practices / power relationships in the value chain
- How the situation of other FPRW is connected to the safety and health of workers

4.3 General conditions of employment and labour

- Employment conditions (contracts, wages, working hours and social security) for each part of the value chain
- Informal labour and subcontracting challenges

4.4 Training needs identification

Trainings need to be identified in relation to awareness on Fundamental Principles and Rights at Work (FPRW), Freedom of Association and Collective Bargaining (FoA&CB), just transition, green jobs and negotiation skills though

- Current workforce skill levels and gaps
- Existence of training programmes and their effectiveness
- Needs for capacity building in line with sustainable ship recycling and promoting the decent work environment

4.5 Women's participation in ship recycling and SMEs

- Women's role in the ship recycling value chain and associated SMEs
- Barriers to participation and economic empowerment
- Barriers for integrating gender-inclusive policies

4.6 Alternative livelihoods and SME development in downstream sectors

- Economic opportunities for workers beyond shipbreaking
- Potential for green enterprises and value addition
- SME support programmes for economic diversification

4.7 Recommendations

Recommendations should target legal, and policy reforms required in the areas outlined in section 4, along with concrete, practical actions that tripartite constituents can implement in the short term.

They should be specific, tailored to the appropriate levels of government, and address the roles of social partners. These recommendations will serve as a foundation for developing an Action Plan aimed at promoting decent work throughout the value chain.

5. Level of effort and timetable for delivery

The consultant is required to complete the assignment within four months of signing of the contract as per the following number of days required

S. No	Task	Level of effort	Timetable
1	Desk review	03 workdays	1st week

2	Inception report (including, research methodology, data collections tools such as questionnaires/survey questions and the proposed outline etc.)	02 workdays	2nd week
3	Testing the methodology before the full roll out	03 workdays	3rd week
4	Interviews, FGDs and meetings (2 days in Islamabad, 2 days in Quetta and 11 days in Karachi/Gadani). This does not include travel days.	15 workdays	4th to 7th week
5	Meetings with ILO and IMO officials to discuss the plan, progress and feedback (to be paid with final payment).	02 workdays	Throughout the study as per need
6	Documentation of interviews, FGDs and meetings	5 workdays	8th week
7	Validation workshop preparation and delivery	2 workdays	10th week
8	Second draft report	5 workdays	11th week
9	Final draft after incorporating the ILO's feedback	2 workdays	14th week
10	Total workdays	39	Four months overall

6. Deliverables, budget and payment schedule

The consultant is required to submit a budget for the assignment in USD. Please note that DSA (in case of travel from outside Karachi) will be paid as per ILO standard rate. The ILO will make travel arrangements for the consultant for road and air travel when required. The ILO will also make logistic arrangement for the meetings (cost for the meeting venue, tea/coffee, lunch etc.). These costs should not be included in the budget.

S. No	Deliverable	Payment
1	Completion of the desk review and submission of initial draft report (including methodology, work plan, list of stakeholders and tools) subject to the approval of the ILO	30%
2	Submission of second draft of the report after conducting interviews, FGDs and meetings and subject to the approval of the ILO	40%
3	Submission of final draft (incorporating ILO comments) subject to the ILO's approval	30%

7. Duration and timetable

The consultant is required to complete the assignment in four months' time from the day of signing the contract.

8. Required Qualification and Skills

The individual consultant is required to have following qualification and skills

- The individual consultant/the lead consultant should have master's degree in Labour related subjects (Labour Studies and Industrial Relations), Economics, LLB or any other relevant subject.
- At least 5 years of experience in qualitative research.
- Working experience with ILO will be an advantage.

- The consultant must have good verbal and written communication skills.
- Must have good connections with key stakeholders specially with ILO constituents (employers, workers and government).
- Should be familiar with internet and communication software (MS Teams and Zoom etc.) for virtual meetings if required.
- The consultant or the team members required to travel should have completed the mandatory UNDSS security related trainings if required.

9. Supervision and Reporting

The consultant will work under the direct supervision of the National Project Coordinator for the for Safe and Environmentally Sound Ship Recycling and Decent Work in Pakistan (SENSREC-DW) and in close collaboration with Senior Programme Officer (SPO) at the ILO Islamabad office. All deliverables will be reviewed and approved by the ILO.

10. Confidentiality and Data Protection

All data, information, and reports obtained for this study shall remain the property of the ILO. The consultant shall not disclose any information to the third parties without approval of the ILO.

11. Termination of the contract

The ILO reserves the right to terminate the contract at any time without providing justification. In the event of such termination, the consultant shall be compensated only for the portion of work that has been completed to the satisfaction of the ILO up to the date of issuance of the termination notice. Payment will be subject to the approval of the ILO based on deliverables submitted and accepted prior to termination.

12. Deadline for Submission of Proposal

The interested candidates (individual consultants) meeting the above criteria are required to submit brief proposal (not more than 3 pages), budget and CVs of the consultant(s) within two weeks of the advertisement at islamabad@ilo.org.